



From the below example, it is clear that we are prepared for the next trading session that holds a major event by buying both ATM call and put options of the same expiry. The profit with this strategy is unlimited. However, when there is a one-sided explosive move in the market, the stoploss of the other side option is hit. If the market does not move anywhere or moves but ends up staying near the strike price at the time of expiry, the value of both the options will deteriorate and it can even become zero leading to losses.



The maximum loss in a long straddle strategy is the premium paid. In the above example, if the market stays near the strike price, traders will incur a loss of Rs. 22,890 (premium paid for call and put options multiplied by lot size). Let's do some maths. The 29th June 2023 18500CE closed at Rs. 265.5 and the 29th June 2023 18,500PE closed at 192.3.